CHAPTER 9

CAPITAL MOVEMENT

ARTICLE 9.1

Current account

Without prejudice to other provisions of this Agreement, each Party shall allow any payments with regard to transactions on the current account of the balance of payments between the Parties, which fall under the scope of this Agreement, in a freely convertible currency[1], and in accordance with the provisions of the Articles of the Agreement of the International Monetary Fund, adopted in Bretton Woods, New Hampshire, on 22 July 1944 ("Agreement of the International Monetary Fund"), as applicable.

ARTICLE 9.2

Capital movements

1. Without prejudice to other provisions of this Agreement, the Parties shall allow, with regard to transactions on the capital and financial account of balance of payments, the free movement of capital relating to investments and transactions liberalised in accordance with Chapter II Liberalisation of investment and Chapter III Cross-border supply of services of Title on liberalisation of investment and trade in services.

2. The Parties shall consult each other with a view to facilitating the movement of capital between them in order to promote trade and investment.

ARTICLE 9.3

Application of laws and regulations relating to capital movements, payments or transfers

Articles 9.1 and 9.2 of this Chapter shall not preclude a Party from applying its laws and regulations relating to:

[1] For the purpose of this Chapter, the definition of “freely convertible currency” in the Title on Liberalisation of Investment and Trade in Services shall apply.

(a) bankruptcy, insolvency, the protection of the rights of creditors,
(b) issuing, trading or dealing in financial instruments;
(c) financial reporting or record keeping of capital movements, payments or transfers where necessary to assist law enforcement or financial regulatory authorities;
(d) criminal or penal offenses, deceptive or fraudulent practices;
(e) ensuring compliance with orders or judgments in judicial and administrative proceedings; or
(f) social security, public retirement or compulsory savings schemes.

Such laws and regulations shall not be applied in an arbitrary or discriminatory manner, or in a manner which otherwise constitutes a disguised restriction on capital movements, payments or transfers.

ARTICLE 9.4

Temporary safeguard measures

In exceptional circumstances of serious difficulties for the operation of the economic and monetary policies, in the case of Indonesia, or for the economic and monetary union, in the case of the European Union, or threat thereof, Indonesia or the European Union respectively may adopt or maintain safeguard measures with regard to capital movements, payments or transfers for a period not exceeding 6 months.[2] Such measures shall be strictly necessary to address such difficulties.

ARTICLE 9.5

Restrictions in case of balance of payments and external financing difficulties in case of balance of payments and external financing difficulties

1. Where a Party experiences serious balance-of-payments or external financial difficulties, or threat thereof, it may adopt or maintain restrictive measures with regard to capital movements, payments or transfers[3].

2. The measures referred to in paragraph 1:

(a) shall be consistent with the Articles of the Agreement of the International Monetary Fund, as applicable;

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[2] For greater certainty, such measures can be renewed for additional periods of six months, provided that they remain strictly necessary under the current circumstances. Such measures are not subject to the notification and consultation procedure envisaged pursuant to paragraphs (5) to (7) of Article X.5 (Restrictions in case of balance of payments and external financing difficulties).

[3] In the case of the EU, such measures may be taken by a Member State of the EU in situations other than those referred to in Article 9.4, which affect the economy of that Member State. For greater certainty, serious balance of payments or external financial difficulties, or threat thereof, may be caused among other factors by serious difficulties related to monetary or exchange rate policies, or threat thereof.

(b) shall not exceed those necessary to deal with the circumstances described in paragraph 1;

(c) shall be temporary and shall be phased out progressively as the situation specified in paragraph 1 improves;

(d) shall avoid unnecessary damage to the commercial, economic and financial interests of the other Party; and

(e) shall not treat the other Party less favourably than a non-Party in like situations.

3. In the case of trade in goods, each Party may adopt restrictive measures in order to safeguard its external financial position or balance-of-payments. These measures shall be in accordance with the General Agreement on Trade and Tariffs (GATT) and the Understanding on the Balance of Payments provisions of the GATT 1994.

4. In the case of trade in services, each Party may adopt restrictive measures in order to safeguard its external financial position or balance of payments. These measures shall be in accordance with Article XII of the General Agreement on Trade in Services (GATS).

5. A Party maintaining or having adopted measures referred to in paragraphs 1 and 2 shall promptly notify them to the other Party.

6. Where restrictions are adopted or maintained under this Article, consultations shall be held promptly in the Trade Committee unless consultations are held in other fora. The consultations shall assess the balance-of-payments or external financial difficulty that led to the respective measures, taking into account, *inter alia*, such factors as:

(a) the nature and extent of the difficulties;
(b) the external economic and trading environment; and

(c) alternative corrective measures which may be available.

7. The consultations pursuant to paragraph 6 shall address the compliance of any restrictive measures with paragraphs 1 and 2. All relevant findings of statistical or factual nature presented by the International Monetary Fund ("IMF"), where available, shall be accepted and conclusions shall take into account the assessment by the IMF of the balance-of-payments and the external financial situation of the Party concerned.